

- ² If not specifically disclosed, we invest in Treasury bills when a trading rule triggered.
- ³ We perform sub-period analysis from February 1976 to December 1989 and January 1990 to July 2014 and come to similar conclusions.
- ⁴ Martin Lettau and Sydney Ludvigson, “Consumption, Aggregate Wealth, and Expected Stock Returns,” *Journal of Finance* 56, no. 3 (2001): 815–849.
- ⁵ Jennie Bai, “Equity Premium Predictions with Adaptive Macro Indexes,” Federal Reserve Bank of New York Staff Reports, no. 475 (2010).
- ⁶ Ben Jacobsen, Ben R. Marshall, and Nuttawat Visaltanachoti, “Stock Market Predictability and Industrial Metal Returns,” 23rd Australasian Finance and Banking Conference 2010 Paper.
- ⁷ Lutz Kilian and Cheolbeom Park, “The Impact of Oil Price Shocks on the US Stock Market,” *International Economic Review*, 50, no. 4 (2007): 1267–1287.
- ⁸ Gil Sadka and Ronnie Sadka, “Predictability and the Earnings–Returns Relation,” *Journal of Financial Economics* 94, no. 1 (2009): 87–106.
- ⁹ John Y. Campbell and Robert J. Shiller, “Valuation Ratios and the Long-Run Stock Market Outlook,” *Journal of Portfolio Management* 24, no. 2 (1998): 11–26.
- ¹⁰ Yan Li, David T. Ng, and Bhaskaran Swaminathan, “Predicting Market Returns Using Aggregate Implied Cost of Capital,” *Journal of Financial Economics* (2013).
- ¹¹ Miguel A. Ferreira and Pedro Santa-Clara, “Forecasting Stock Market Returns: The Sum of the Parts Is More than the Whole,” *Journal of Financial Economics* 100 (2011): 87–106.
- ¹² Lutz Kilian and Cheolbeom Park, “The Impact of Oil Price Shocks on the US Stock Market,” *Journal of Financial Economics* 104 (2007): 228–250.